

horizon. Now what if you are 80? Is your life expectancy *minus* seven years? What these journalists confuse is the unconditional and conditional life expectancy. At birth, your unconditional life expectancy may be 73 years. But as you advance in age and do not die, your life expectancy increases along with your life. Why? Because the other people by dying have taken your spot in the statistics, for expectation means average. So if you are 73 and are in good health, you may still have, say, nine years *in expectation*. But the expectation would change, and at 82, you will have another five years, provided of course you are still alive. Even someone 100 years old still has a positive conditional life expectation. Such a statement, when one thinks about it, is not too different from the one that says: *our operation has a mortality rate of 1%. So far we have operated on 99 patients with great success; you are our 100th, hence you have a 100% probability of dying on the table.*

T.V. financial planners may confuse a few people. This is quite harmless. What is far more worrying is the supply of information by non-professionals to professionals; it is to the journalists that we turn next.

THE BLOOMBERG EXPLANATIONS

I have, on my desk, a machine eponymously called a *Bloomberg*TM (after the legendary founder Michael Bloomberg). It acts as a safe e-mail service, a news service, a historical data retrieving tool, a charting system, an invaluable analytical aid and, not least, a screen where I can see the price of securities and currencies. I have gotten so addicted to it that I cannot operate without it, as I would otherwise feel cut off from the rest of the world. I use it to get in contact with my friends, confirm appointments, and solve some of those entertaining quarrels that put some sharpness into life. Somehow, traders who do not have a Bloomberg address do not exist for us (they have to have recourse to the more plebeian internet). But there is one aspect of Bloomberg I would dispense with; the journalist's commentary. Why? Because they engage in explaining things and perpetuate the right-column, left-column confusion in a serious manner. Bloomberg is not the sole perpetrator; it is just that I have not been exposed to newspapers' business sections over the past decade, preferring to read real prose instead.

As I am writing these lines I see the following headlines on my Bloomberg:

→ *Dow is up 1.03 on lower interest rates.*

→ *Dollar down 0.12 yen on higher Japanese surplus.*

and so on for an entire page. If I translate it well, the journalist claims to provide an explanation for something that amounts to *perfect noise*. A move of 1.03 with the Dow at 11,000 constitutes less than a 0.01% move. Such a move does not warrant an explanation. There is nothing there that an honest person can try to explain; there are no reasons to adduce. But like apprentice professors of comparative literature, journalists being paid to provide explanations will gladly and readily provide them. The only solution is for Michael Bloomberg to stop paying his journalists for providing commentary.

Significance: how did I decide that it was perfect noise? Take a simple analogy. If you engage in a mountain bicycle race with a friend across Siberia and, a month later, beat him by one single second, you clearly cannot quite boast that you are faster than him. You might have been helped by something, or it can be just plain randomness, nothing else. That second is not in itself significant enough for someone to draw conclusions. I would not write in my pre-bed-time diary: *cyclist A is better than cyclist B because he is fed with spinach whereas cyclist B has a diet rich in tofu. The reason I am making this inference is because he beat him by 1.3 seconds in a 3,000 mile race.* Should the difference be one week, then I could start analyzing whether tofu is the reason, or if there are other factors.

Causality: there is another problem; even assuming statistical significance, one has to accept a cause and effect, meaning that the event in the market can be linked to the cause proffered. *Post hoc ergo propter hoc* (it is the reason because it came after). Say Hospital A delivered 52% of boys and Hospital B delivered the same year only 48%; would you try to give the explanation that you had a boy *because* it was delivered in hospital A?

Causality can be very complex. It is very difficult to isolate a single cause when there are plenty around. This is called multivariate analysis. For instance, if the stock market can react to U.S. domestic interest